

**Campus Products
Balance Sheet
December 31, 2020**

Assets	2020	Start
Cash	\$4,000	\$0
Accounts Receivable	34,000	0
Inventory (FIFO)	3,900	0
PPE (net)(\$40,000-\$8,000)	32,000	0
Total Assets	<u>\$73,900</u>	\$0
Liabilities		
Accounts Payable	\$3,000	\$0
Taxes Payable	3,000	0
Notes Payable	22,500	0
Total Liabilities	<u>\$28,500</u>	\$0
Equity		
Shareholder Investment	\$35,000	\$0
Earnings	10,400	0
Total Equity	<u>\$45,400</u>	\$0
Total Liabilities & Equity	<u>\$73,900</u>	\$0

**Campus Products
Income Statement
For Year-Ended December 31, 2020**

Sales Revenue	\$49,000
Cost of Sales	<u>(5,100)</u>
Gross Profit	43,900
Operating Expenses	<u>(20,000)</u>
EBITDA	23,900
Depreciation Expense	<u>(8,000)</u>
EBIT	15,900
Interest Expense (\$500 + \$2,000)	<u>(2,500)</u>
EBT	13,400
Tax Expense:	<u>(3,000)</u>
Net Income	<u><u>\$10,400</u></u>

EBITDA = Operating Income

= Earnings Before Interest, Taxes, Depreciation, Amortization

Campus Products
Statement of Cash Flows
For Year-Ended December 31, 2020

Direct Method

Operating Transactions:

Cash Inflows:	Collections from Customers	\$15,000	
Cash Outflows:	Payments to Suppliers	(9,000)	
	Payments for Operating Costs	(17,000)	
	Payments for Interest	(2,500)	
	Payments for Income Taxes	<u>0</u>	
Net Cash Flows from Operations			(\$13,500)

Investing Transactions:

Cash Inflows:	Sales of Property, Plant & Equipment	0	
Cash Outflows:	Purchase of Property, Plant & Equipment	(40,000)	
Net Cash Flows from Investing			(\$40,000)

Financing Transactions

Cash Inflows:	Proceeds from Sale of Equity	35,000	
	Proceeds from Bank Financing	30,000	
Cash Outflows:	Debt Repayment	<u>(7,500)</u>	
Net Cash Flows from Financing Activities			<u>\$57,500</u>
Net Change in Cash (1/1/20 - 12/31/20)			<u><u>4,000</u></u>

Campus Products 2020 Financial Transactions

Campus Products was started on January 1, 2020, in a small Texas town. Its first three transactions all took place during the first week of business. A summary of the remaining first-year transactions follows.

Required: You are to record these transactions and prepare Campus Products' balance sheet, income statement and statement of cash flows as of December 31, 2020.

Transactions:

1. Sold 35,000 shares of capital stock at \$1.00 per share. = **\$35,000**
2. Borrowed \$10,000 from a local bank. The note is due in 5 years and it carries a 5% interest charge which is paid on December 31 of each year. Interest = **\$500.**
3. Bought \$40,000 of property, plant and equipment (PPE) – paid cash. This transaction was financed by borrowing \$20,000 from the bank. (Record the bank loan separately). This loan is for 3 years, 10% interest only. Interest is paid annually on December 31. These assets have an expected life of 5 years (no salvage value). Straight-line depreciation is used for financial reporting. Interest = **\$2,000.** Depreciation = **\$8,000.**
4. The following inventory transactions occurred during the first year (assume a FIFO cost flow):

4.1 Purchases*

100 units at \$10 each = \$1,000	
100 units at \$20 each = \$2,000	
<u>200 units at \$30 each = \$6,000</u>	
<u>400</u>	<u>= \$9,000</u>

*All purchases are on account.
By year-end, all orders have been fully paid.

4.2 Sales**

100 units at \$150 = \$15,000 – Cash Sales	
<u>170 units at \$200 = \$34,000 – A/R Sales</u>	
<u>270</u>	<u>\$49,000 - Total</u>

**All sales are on account.
By year-end, collections have been received from only the first 100 units sold.

- 4.3 Record Inventory Sold = $[100 \times \$10] + [100 \times \$20] + [70 \times \$30]$
= $\$1,000 + \$2,000 + \$2,100 = \mathbf{\$5,100}$
5. Operating expenses of \$20,000 have been incurred and \$17,000 paid. A/P = **\$3,000.**
6. On December 31, repay \$7,500 of \$10,000 loan.
7. The income tax for this year is \$3,000; taxes will be paid on March 31 of next year.